Meridian Actuarial Advisors LLC

www.meridianactuarial.com

July 15, 2024

James Garcia
Chief Financial Officer
Gonzalez, Campbell and Kelly

Dear Mr. Garcia:

This letter confirms the terms on which we will review the pricing of the reinsurance program of Gonzalez, Campbell and Kelly. It sets down the work we have agreed to perform, the material we will rely on, the standards the work is performed under, and the commercial terms. If it records our understanding correctly, please countersign and return a copy.

Background and Purpose

Gonzalez, Campbell and Kelly has asked us to examine the rates and terms of the treaties under which it cedes risk, and to say whether what is being paid is consistent with the experience of the business ceded and with terms a cedent of comparable size and experience could expect today. You have told us that the principal treaty has been renewed twice without a rate review, that the ceding allowance has not been revisited in that period, and that the retention was last set when the in-force was materially smaller. None of that is evidence of a mispriced program. It is a reason to look at one.

A pricing review is three things, and we will keep them apart. There is what the experience shows, which is measurement. There is what must be assumed to project that experience forward and to price a treaty against it, which is judgment applied to measurement. There is what we conclude, which is judgment. Where a conclusion rests on an assumption rather than on the data, we will name the assumption and say what happens to the conclusion if it is wrong.

Scope of Work

The review has five parts. We expect to review the first two with your staff before the pricing work begins. A pricing comparison built on a misread treaty is worse than none, because it looks like an answer.

- Treaty review. We will read the treaties in force, together with amendments and side letters, and set down in one place what is ceded, on what basis, at what rates, with what allowances, and under what recapture and rate-adjustment provisions.
- Experience study. We will compile the ceded mortality experience over the available observation period, reconciled to your in-force records, and express it against the table the treaty rates were set on. We will report exposure and credibility with the results, not separately from them.
- Assumption basis. We will set out the mortality, lapse, and expense assumptions we propose to price against, distinguishing those supported by your own experience from those we have taken from published or industry sources because your experience is not credible at that level of detail.
- Pricing comparison. We will price the ceded business on the basis above and compare the result to the rates and allowances actually paid, treaty by treaty, and to terms we understand to be presently available in the market.
- Findings and options. We will report what we found, what it rests on, and what courses are open to you at the next renewal, including the option of doing nothing.

Approach and Reliance on Data

We will rely on data and information supplied by you and by your reinsurers without audit or independent verification. We will review the material for reasonableness and internal consistency, and we will reconcile the ceded records to your in-force. That is a check on consistency. It is not an audit and should not be represented as one. If we find the data unsuitable for the purpose, we will say so and we will not proceed as though we had not found it.

The work will be performed in accordance with the Actuarial Standards of Practice promulgated by the Actuarial Standards Board, and the report will identify the standards material to it. Our deliverable is an actuarial report and the workbook of exhibits supporting it. It is prepared for the use of your management and board, for the purpose stated in this letter, and it should not be relied upon for another purpose or by another party without our written consent.

The Team

I will be the actuary responsible for the work and will sign the report. Karen Harris will run the engagement day to day and will be your staff's first point of contact on data and scheduling. Michelle Banks will perform the experience study and the pricing work and will maintain the working papers supporting the exhibits. Both are Actuarial Associates of this firm. The composition of the team may change; the responsible actuary will not, without notice to you.

Fee and Timing

Our fee for the work described above is $42,000, fixed. It covers the five parts of the scope, one working session with your staff on each of the first two, and one presentation of the findings. Work begins July 25, 2024, subject to receipt of the treaty documents and the ceded records. We expect the review to run about four months from commencement, and the schedule assumes the data arrive substantially complete in the first month. If they do not, the completion date moves; the fee does not, unless the scope does.

Fees and Payment

We will invoice monthly in arrears against progress, with the balance on delivery of the report. Invoices are payable within thirty days. Reasonable out-of-pocket expenses, principally travel to your offices, are billed at cost and are not included in the fee above. Work outside the scope described will be performed only on your written instruction, and we will estimate it before we begin it.

Term and Termination

This engagement runs until the report is delivered and the findings presented. Either of us may terminate it on fifteen days' written notice. On termination you will pay for work performed to the termination date, and we will deliver what is complete at that date, marked as incomplete, because a partial pricing review presented as a whole one is misleading.

Confidentiality

We will treat your data, your treaty terms, and our findings as confidential, and will not disclose them to a third party except with your consent or as required by law or by the standards of the profession. Our working papers remain our property. We will retain them for the period our record retention policy requires and no longer.

Limitation of Liability

Our aggregate liability to you arising out of this engagement, on any theory, is limited to the fees paid under it, except for our fraud or willful misconduct, for which liability may not be limited. Neither of us is liable to the other for consequential, indirect, or punitive damages. Our findings are opinions about uncertain future events. They are not, and cannot be, a guarantee of a result.

Governing Law

This letter is governed by the laws of the state in which our principal office is located, without regard to its conflict of laws provisions. It is the entire agreement between us on this engagement and supersedes prior discussion of it. It may be amended only in writing signed by both of us.

If the foregoing sets out our understanding, please sign below and return one copy to Karen Harris. We are glad to be asked, and we will begin on receipt.

Very truly yours,

Robert Lawrence
Managing Actuary
Date: July 15, 2024

James Garcia
Chief Financial Officer, Gonzalez, Campbell and Kelly
Date: July 15, 2024